

Airline Loyalty Program

2018 Campaign Performance Report

Membership impact, demographic adoption and flight activity

Executive summary

The 2018 Promotion ran from February to April 2018 and enrolled **115 new loyalty members**, a gross uplift of 5.6% on a base of 2,067 members. Judged on acquisition alone, the campaign worked. Judged on value retained, it did not: **every one of the 115 promotional members had cancelled by the end of the year**, with 104 of those cancellations (90%) concentrated in the fourth quarter. Net membership growth from the campaign was zero.

The members it attracted were not low-quality. During summer 2018 they flew an average of 8.2 flights per member against 0.3 for standard members — roughly 27 times more activity per person — and carried a higher mean customer lifetime value (\$8,754 vs \$8,095). Their average tenure, however, was only 7.6 months against 16.4 months for standard members. The campaign therefore bought highly engaged members and then lost them before that engagement could compound.

Adoption also skewed in a usable way. Divorced members (+3.5pp), Aurora-tier cardholders (+3.7pp), male members (+3.4pp) and college-educated members (+2.5pp) all over-indexed relative to the standard base, giving a clear target profile for the next campaign.

Bottom line: the 2018 Promotion was an acquisition success and a retention failure. The priority for the next cycle is not a larger acquisition push but a retention layer in the first three months, aimed at the segments that demonstrably responded.

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1. Scope, data and method

This report evaluates the 2018 Promotion campaign across three questions set by the business: what the campaign did to membership numbers (gross and net), which demographic segments adopted it, and whether it produced incremental flight activity during the peak summer season. A fourth section examines lifetime value and tenure, because the retention result makes it material.

Data sources

Source	Records	Content used
customer_loyalty_history.csv	2,067	Enrollment type and date, cancellation date, CLV, demographics, card tier
customer_flight_activity.csv	48,113	Monthly flights booked, distance flown, points activity per member

Definitions

Gross enrollments are members whose enrollment type is 2018 Promotion. **Net retained** is gross enrollments less members who subsequently cancelled, measured at the end of the observation window. **Tenure** is months between enrollment and cancellation. **Summer** is June to August 2018. Per-member flight figures divide total flights in the period by the member count of that group, so the 115-member promotional cohort and the 1,952-member standard cohort are compared on a like-for-like basis.

Headline figures

115 Gross new members 5.6% of 2,067	0 Net retained 100% cancelled	+3.7pp Largest skew Aurora tier	8.2 vs 0.3 Summer flights/member Promo vs standard
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2. Campaign impact on memberships

115 Gross enrollments Feb-Apr 2018	0 Net retained 100% cancelled	104 Q4 2018 churn 90% of cancellations	7.6 mo Average tenure Before cancellation
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Enrollment activity during the campaign window was strong and clearly additive in the moment. The three promotional months delivered 34, 38 and 43 new members respectively, on top of a standard enrollment baseline that had been running at roughly 20 to 43 members per month through 2017. Standard enrollments then fell sharply from May 2018 onward, to single digits, which means the promotional cohort accounted for most new membership in the year.

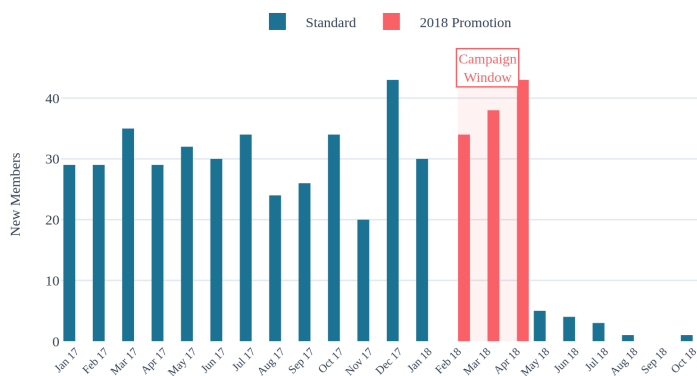


Figure 1. Monthly new enrollments by type, 2017-2018. The shaded window marks the Feb-Apr 2018 campaign.

The cancellation timeline tells the opposite story. Attrition of the promotional cohort began within months of enrollment and then accelerated, with 104 of the 115 members cancelling during the fourth quarter of 2018. Average tenure was 7.6 months. By the end of the observation window the cohort had been fully lost, so the campaign's contribution to standing membership is zero.

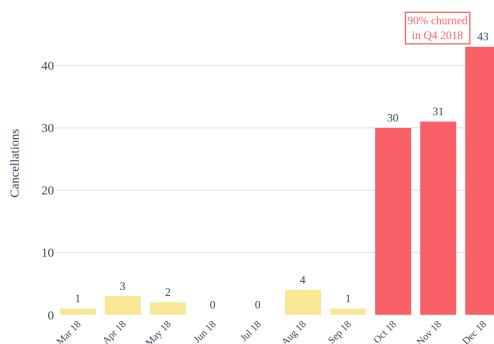


Figure 2. Cancellations among 2018 Promotion members over time.

The pattern — near-universal churn clustered in a single quarter — points to a structural cause such as the expiry of a promotional benefit or the end of a discounted period, rather than ordinary dissatisfaction spread across the cohort. That is worth confirming against the campaign's terms, because a structural cause is fixable by design.

3. Demographic adoption

Comparing the composition of the promotional cohort against the standard member base shows which segments responded disproportionately. The campaign reached every segment, so this is a question of skew rather than exclusivity: the figures below are percentage-point differences in share, not response rates.

Segment	Promotion share	Standard share	Skew
Divorced	17.4%	13.9%	+3.5pp
Aurora card tier	25.2%	21.5%	+3.7pp
Male	52.2%	48.8%	+3.4pp
College-educated	27.8%	25.4%	+2.5pp



Figure 3. Share of promotional vs standard members across demographic dimensions.

The skews are consistent in direction and modest in size, which is what one would expect from a broad-reach promotion rather than a targeted one. Their practical value is as a targeting prior: with four segments over-indexing between 2.5 and 3.7 percentage points, a campaign weighted toward divorced, Aurora-tier, male and college-educated members should be expected to convert more efficiently per unit of spend than the same offer broadcast evenly. None of the skews is large enough to justify excluding other segments.

4. Summer flight activity

8.2	0.3	2,824	1,653
Promo flights/member	Standard flights/member	Promo total flights	Standard total flights
Jun-Aug, monthly avg	Jun-Aug, monthly avg	Summer 2018	Summer 2018

During summer 2018 the 115 promotional members booked 2,824 flights and covered 4.14 million miles, against 1,653 flights and 2.58 million miles for the 1,952 standard members. On a per-member basis the promotional cohort averaged 8.18 flights per month against 0.28 — a factor of roughly 27.

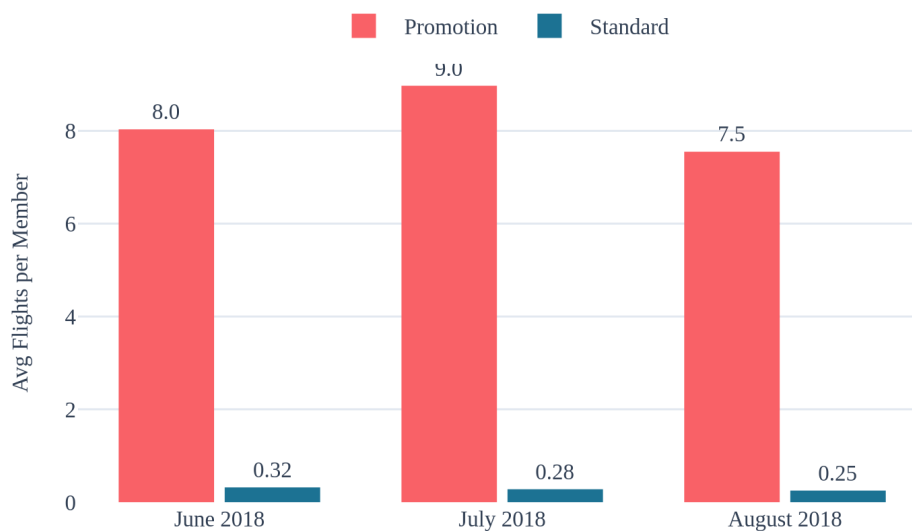


Figure 4. Summer 2018 flight activity, promotional vs standard members.

Supporting metrics, summer 2018

Metric	Promotion	Standard
Members	115	1,952
Total flights	2,824	1,653
Total distance (miles)	4,135,488	2,576,290
Average flights per month	8.18	0.28

This is the most encouraging result in the analysis and also the one most easily over-read. The promotional cohort out-flew the entire standard base in absolute terms while being 17 times smaller, which confirms genuine engagement. But the absolute contribution is bounded by the cohort's size: 115 members cannot move total programme volume far, however active they are. The campaign raised intensity, not reach.

Two caveats apply. First, without a control group the analysis cannot separate flights the campaign caused from flights these members would have taken anyway. Second, an offer that rewards flying will mechanically attract frequent flyers, so part of the 27x gap is selection rather than behaviour change.

5. Lifetime value and retention

\$8,754 Promo mean CLV 115 members	\$8,095 Standard mean CLV 1,952 members	7.6 mo Promo avg tenure Short-lived	16.4 mo Standard avg tenure 2.2x longer
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Promotional members carried a mean customer lifetime value of \$8,754, about 8% above the \$8,095 standard average. Set against a tenure of 7.6 months versus 16.4, this is the central tension of the campaign: it acquired members of above-average value and held them for less than half as long.

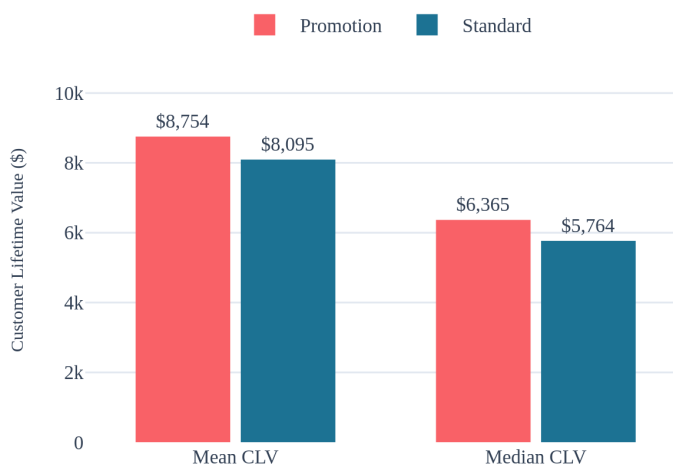


Figure 5. Customer lifetime value, promotional vs standard members.

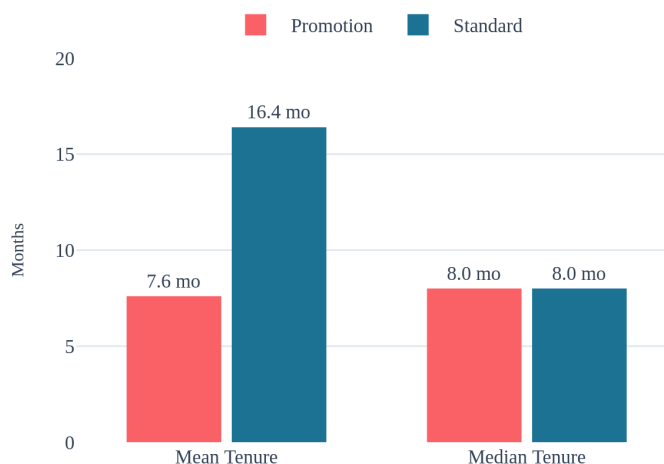


Figure 6. Membership tenure, promotional vs standard members.

The implication for value capture is direct. If the promotional cohort had been retained to the standard average tenure, the same 115 acquisitions would have delivered roughly twice the realised months of membership, at no additional acquisition cost. Retention spend on this cohort would have been cheaper per retained month than any further acquisition spend.

6. Findings and recommendations

Findings

Zero net retention. 115 gross enrollments, none retained, with 90% of cancellations in Q4 2018. The clustering suggests a structural trigger rather than diffuse dissatisfaction.

A usable demographic signal. Divorced (+3.5pp), Aurora-tier (+3.7pp), male (+3.4pp) and college-educated (+2.5pp) members all over-indexed, giving a target profile for the next campaign.

High intensity, limited scale. Promotional members flew about 27 times more per person than standard members during summer, but 115 members could not shift total programme volume materially.

Value acquired, value lost. Mean CLV was 8% above the standard base while tenure was 54% shorter, so the cohort's value was never realised.

Recommendations

Action	Rationale	Priority
Build a first-90-day retention journey: onboarding, milestone rewards, early-warning churn scoring	Attrition, not acquisition, is where the campaign's value was lost	High
Audit the campaign terms for a benefit expiry or price step that coincides with Q4 2018	90% of churn in one quarter points to a structural trigger that can be redesigned	High
Weight the next campaign toward divorced, Aurora-tier, male and college-educated members	These segments over-indexed by 2.5–3.7pp and should convert more efficiently	Medium
Run the next campaign with a holdout control group and report incremental flights and retained months	Current figures cannot separate campaign effect from self-selection	Medium
Scale only after retention is demonstrated for at least two quarters	Per-member engagement is strong; scaling before retention multiplies the same loss	Medium

7. Limitations and next analysis

The campaign ran without a control group, so no statement here establishes causality; comparisons are between a self-selected promotional cohort and the standard base. The promotional cohort is small (115 members), so segment-level shares carry wide uncertainty and the reported skews should be treated as directional. The observation window ends in 2018, which truncates tenure for standard members still active and so understates their true average. Customer lifetime value is taken as supplied in the source file rather than recomputed from flight and points activity.

Recommended follow-up work:

- Survival analysis of the promotional cohort to locate the churn hazard precisely by month since enrollment.
- Reconciliation of cancellation dates against campaign benefit expiry dates to test the structural-trigger hypothesis.
- Recomputation of CLV from observed flight, distance and points activity to test whether the promotional premium survives.
- A matched-cohort comparison of promotional members against standard members with similar pre-campaign flight frequency, to estimate incrementality retrospectively.